

ECONOMY — Budget, Taxation & Fiscal System

Batch 3/10 · Parmar Ch.4 (full) + Lucent §10+§12 (full) + PYQ buckets "04 Indian Tax System" + "05 Public Finance" · ★=PYQ-tested · [B]=PYQ-book-only

1 Budget — Constitution, History & Records

- Budget → approximation of revenue+expenses over a period; official constitutional term = "**Annual Financial Statement**" (AFS) ★ [B: "Budget" itself NOT in Article 112's text ★]
- Article 112** → govt must present AFS to Parliament; **Article 202** → same requirement for States (state legislature)
- AFS presented by → **President** to both Houses; prepared by → Dept of Economic Affairs (Min. of Finance); presented (read out) by → **Finance Minister**
- AFS = estimated receipts+expenditure for FY (1 Apr–31 Mar) [B, reinforced]; every budget gives 3 figure-sets → actual (preceding yr), budget+revised (current yr), estimates (following yr) [Lucent]; based on figures of 2 previous years [Lucent]
- First Budget → **R.K. Shanmukham Chetty**; Second → **John Mathai**
- Most budgets presented: Morarji Desai=10 (record, 6 in a row) → P. Chidambaram=9 → Nirmala Sitharaman=9 (incl. 9 consecutive) → Pranab Mukherjee=8 → Yashwant Sinha=8
- Gender Sensitive Budget → 2005-06 [also cross-ref Gender Budget Parts below]; Indira Gandhi = 1st (temporary) female FM
- Child Budgeting → introduced 2008-09 [B ★, reinforced: financial-inclusion step after gender budgeting; covers schemes with ≥30% or 100% child benefit ★]
- Railway Budget: **Acworth Committee (1921)** → recommended separation from General Budget; **Bibek Debroy Committee (2016)** → recommended merger back; merged from **FY2017-18**

HOOK Budget 2017-18 reforms (3 major) [Lucent]: (1) presentation date advanced to **1 Feb** ★ (from last working day of Feb) → avoids Vote-on-Account, single Appropriation Bill passed before FY starts; (2) **Railway Budget merged** with General Budget → ended colonial practice since 1924; (3) plan/non-plan expenditure classification abolished.

2 Budget Functions & Basic Concepts

- Allocation Function** → dividing resources between public/private goods
- Redistribution Function** → ↓ income inequality via progressive taxation + welfare programs
- Stabilisation Function** → adjust spending/taxation → counter recession (↑ spending) or inflation (↓ spending)
- Asset** → economic-value resource owned/controlled for future benefit; eg gold, property
- Liability** → obligation to fulfill a debt/duty; eg loan repayment

TRAP Budget's main objective [B] ★ → allocate public funds/limited resources across sectors (education/health/defence) for growth+welfare — NOT "increase unemployment," "decrease taxes," or "promote private sector" (tested distractors).

3 Revenue vs Capital Budget

Budget divided into **Revenue** + **Capital** heads. Revenue → funds financing activities/public services, mainly from taxes+fees+finances+duties.

Revenue Receipts	Revenue Expenditure
Don't create liabilities/reduce assets; non-redeemable, no claim on govt [B ★: eg tax/fees, don't need repayment] — Tax Revenue eg: wealth tax — Non-Tax Revenue eg: interest on loans, PSU earnings, railway tickets	Doesn't ↑ assets or ↓ liabilities [B ★: salaries/pensions/interest payments = revenue expenditure, recurring, normal govt functioning ★] — Plan eg: govt grants/financial assistance — Non-Plan eg: salary/pension, interest payment (largest component), infra maintenance

Capital Receipt	Capital Expenditure
Creates liability OR reduces asset value; eg loan, disinvestment [B ★: sale of PSU shares = capital receipt (reduces assets, NOT revenue receipt) ★; main sources = borrowings, small savings, recovery of loans ★; loan from RBI = capital receipt (creates future liability) ★]	Acquire/upgrade/maintain long-term assets; creates new assets, reduces liabilities; eg loan repayment, developmental expenditure, infra (roads/schools/hospitals) [B ★: purchase of machinery = capital expenditure ★ — NOT "doesn't create assets," tested false statement]

TRAP Grants given BY Centre FOR asset creation (eg to states) → still classified as **Revenue Expenditure** in the Centre's own books ★ [B] — because no direct physical/financial asset is created for the Centre itself, even though the recipient gets a capital asset.

Capital Account (govt budget) [B] → records transactions changing assets/liabilities: capital receipts (loans/disinvestment/loan recovery) + capital expenditure (infra/machinery/loan repayment). **Revenue Budget** = another name for the Revenue Account [B] → shows day-to-day, recurring, no asset/liability change.

4 Taxation — Direct, Indirect, Types

Direct Tax	Indirect Tax
Directly payable, cannot be passed on, progressive , marginal rate > average rate; eg income/wealth/gift/capital-gain/corporate tax	Indirectly payable, CAN be passed on, regressive/proportional ; eg GST, excise duty (petrol/diesel/ATF), customs duty

TRAP Indirect tax = regressive ★ [B] because it's based on commodity price, not income → rich+poor pay the SAME tax amount for the same good (NOT "varies with income"/"only wealthy"/"only corporations"/"equal impact across income groups" — tested distractors ★). Progressive taxation ★ = most countries' income-tax system, for social justice (wealthy pay more, poor's burden reduced) ★.

Paper Tax → significant only on paper, no real revenue yield; eg wealth tax, gift tax, estate duty (not levied now) [B ★: called "paper tax" because widely evaded, generates little revenue, admin significance limited to paperwork ★].

Laffer's Curve → graph of tax rate vs govt revenue; ↑ tax beyond a point → ↓ revenue (discourages investment/consumption/work effort); bell-shaped.

CBDT administers direct taxes (Income Tax etc.) — cross-ref §12 below for full CBDT detail.

5 Goods and Services Tax (GST)

- Introduced via **101st Constitutional Amendment Act**; effective **1 July 2017** ★ [B: replaced VAT/Service Tax/Excise ★]
- Article 279A** → GST Council = constitutional body, **33 members** (2 Centre+31 States/UTs), Chairman=FM
- Cascading Tax (Tax on Tax)** → tax levied at every stage without credit for tax already paid → inflates final price
- Legislative timeline: first mooted 2006-07 → GST Council constituted 2016 (Art 279A(1), 12 Sept 2016) → 101st Amendment presidential assent 8 Sept 2016 → IGST launched midnight 1 July 2017
- 3-tier levy: Central GST + State GST + Integrated GST; IGST = seamless input-tax-credit flow across states
- Coverage: all goods/services EXCEPT alcoholic liquor (human consumption); petroleum products excluded until GST Council notifies a date

HOOK GST's purpose [B] ★ = "One Nation, One Tax" — uniform tax system across states, simple/transparent structure, easier inter-state trade (NOT "new direct tax," "more duty on luxury goods," or "differentiate goods vs services" — tested distractors ★). Subsumed 17+ taxes/cesses.

Taxes subsumed — Central	Taxes subsumed — State
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Central Excise Duty, Additional Excise Duty, Service Tax, Countervailing Duty (Addl. Customs Duty), Special Addl. Duty of Customs

VAT/Sales Tax, Entertainment Tax (non-local-body), Central Sales Tax, Octroi/Entry Tax, Purchase Tax, Luxury Tax, Lottery/Betting/Gambling Tax

States compensated for GST-implementation revenue loss. **GST Collection:** April 2024 gross=₹2.10 lakh cr (record high, +12.4% YoY); net (after refunds)=₹1.92 lakh cr (+15.5% YoY).

HOOK CENVAT ★ [B]: introduced via Union Budgets 2000-01/2001-02 → multiple excise rates collapsed to a single rate of **16%** ★ (2001-02) → objective: simplify tax, reduce cascading, pave way for GST. **Entertainment tax + Entry tax** ★ → historically STATE-levied (NOT Central) ★, both now subsumed into GST — a tested "which was Central" trap where the answer is NEITHER.

Customs duty = indirect tax on imports+exports, Customs Act 1962; most exports exempt (promote exports); imports get Basic Customs Duty (BCD)+cesses (protect domestic industry).

6 Other Taxes & Externalities

- **Surcharge** → additional tax ON income tax, above an income threshold
- **Cess** → tax on tax liability, for a specific purpose
- Surcharge+Cess → levied by Centre, NOT shared with states
- **Pigouvian Tax** → tax on negative-externality-causing activities, to reduce the externality
- **Externality** → indirect cost/benefit to an uninvolved third party from another's activity; positive or negative

7 "Rupee Comes From / Goes To" (Budget 2025-26)

Rupee Comes From	Share
Borrowing & Other Liabilities	24%
Income Tax	22%
GST & other taxes	18%
Corporation Tax	17%
Non-Tax Receipts	9%
Union Excise Duties	5%
Customs	4%
Non-Debt Capital Receipts	1%

Rupee Goes To	Share
States' share of taxes/duties	22%
Interest payments	20%
Central Sector Schemes (excl. defence capital/subsidy)	16%
Defence	8%
Finance Commission/other transfers	8%
Centrally Sponsored Schemes	8%
Other expenditure	8%
Subsidies	6%
Pensions	4%

8 FRBM Act, 2003

- Enacted 2003, for fiscal discipline/responsible financial management
- Original aim: limit fiscal deficit to **~3% of GDP** ★, prudent public-debt management [B: mandates fiscal deficit ≤3% of GDP ★]
- **FRBM Review Committee** → formed May 2016, headed by **N.K. Singh**
- NK Singh Committee recommendations: Debt-GDP target 60% (40% Centre+20% States); Fiscal deficit target 2.5% of GDP by 2023 (medium term); **Escape Clause** = deviate up to 0.5% of GDP in

exceptional situations ★ [B: grounds = national security, war, national calamity, severe agriculture situation ★]

HOOK 3 mandatory documents with AFS ★ [Parmar+B, both confirm]: (1) **Medium Term Fiscal Policy Statement** (3-yr rolling target); (2) **Fiscal Policy Strategy Statement** (govt's financial goals/methods); (3) **Macroeconomic Framework Statement** (GDP growth overview) — NOT the Monetary Policy Statement ★ (that's RBI's own, independent document). FM's role = present these to Parliament ★.

FRBM also mandates revenue-deficit reduction by **0.5% of GDP every year** ★ [B]. Objective: control govt expenditure+fiscal deficit, inter-generational equity, long-term financial stability, ↓ public debt/borrowing. Post-1991: Centre linked state loans to states' fiscal-discipline performance → states had to adhere to fiscal targets [B].

TRAP Gross fiscal deficit reached **~8.4% (≈10% rounded)** of GDP by 1990-91 ★ [B] → forced the 1991 liberalisation reforms.

Year	Fiscal Deficit	Revenue Deficit	Debt
2017-18	3.0%	2.1%	47.3%
2018-19	3.0%	1.8%	45.5%
2019-20	3.0%	1.6%	43.7%
2020-21	2.8%	1.3%	42.0%
2021-22	2.6%	1.1%	40.3%
2022-23	2.5%	0.8%	38.7%

9 Crowding In/Out, Budget Types & Deficit Financing

- **Crowding In** → govt spending (infra/public investment) → stimulates private investment → ↑ overall economic activity
- **Crowding Out** ★ → ↑ govt borrowing/expenditure → ↑ interest rates → ↓ private investment (govt competes for funds) [B ★: NOT competition increase/export decline/inflation-from-printing — tested distractors ★]
- **Balanced Budget** (Receipt=Expenditure) | **Surplus Budget** (Receipt>Expenditure) | **Deficit Budget** (Expenditure>Receipt)
- **Deficit Financing** (concept by **J.M. Keynes**) → govt expenditure>revenue, gap financed via new money creation or borrowing [B: objective = stimulate/accelerate economic growth via ↑ public investment — NOT reduce inflation/control black money/decrease money supply ★]
- **Debt Financing** → raise funds via borrowing (banks/FIs/bonds), repay with interest
- **Equity Financing** → raise funds via issuing shares, investors become owners, share profits via dividends, no repayment obligation

HOOK Keynes ★ [B, reinforced]: during recession, most effective tool = **↑ govt expenditure** (creates demand/employment via multiplier effect) ★ → "**expansionary fiscal policy**" = ↓ taxes + ↑ govt spending ★ — NOT characterised by ↓ govt spending (a tested "NOT" question ★). Fiscal Policy's primary objective ★ = influence aggregate demand/economic activity via govt spending+taxation (NOT money supply/interest rates=monetary policy; NOT trade/BoP/stock market ★). Fiscal-policy example = govt spending on infrastructure (repo rate/forex/money-supply = monetary policy, not fiscal ★).

10 Types of Deficit

Deficit	Formula (Parmar)
Budgetary Deficit	Total Expenditure – Total Receipt [B ★: aka "Fiscal Deficit" in common usage — indicates borrowing need ★]
Revenue Deficit ★	Revenue Expenditure – Revenue Receipt ★ [B, reinforced repeatedly: concern because govt borrows for consumption, no asset creation, ↑ future interest burden — called "dis-saving" ★]
Effective Revenue Deficit	Revenue Deficit – Grant given for developmental purpose

Fiscal Deficit ★	Total Exp – (Total Receipt – Debt-creating Capital Receipt), OR Total Expenditure – (Revenue Receipts + Non-debt Capital Receipt) ★ [B ★ worked example: Revenue Receipts ₹50L cr, Total Exp ₹75L cr, Borrowings ₹20L cr → FD=75–50=₹25L cr ★]
Primary Deficit ★	Fiscal Deficit – Interest Payment ★ [B ★, reinforced: = borrowing for current expenses EXCLUDING interest on past/previous loans; "indicator capturing borrowing excl. past-debt interest" = Primary Deficit ★]

DOUBT Primary Deficit conflict: Parmar and most PYQ explanations use **Fiscal Deficit – Interest Payment**. Lucent §10 prints its own formula as "**Revenue Deficit – Interest Payments**" — which also contradicts Lucent's OWN prose definition on the same page ("fiscal deficit minus interest payments"). A triple internal inconsistency; all three versions preserved verbatim, not silently corrected.

DOUBT Fiscal Deficit formula conflict: Lucent's own version reads "Revenue Receipts + Capital Receipts (only loan recoveries+other receipts) – Total Expenditure" — different sign/ordering from Parmar's version above. Both preserved.

Deficit (general) = expenses exceed revenue — the term itself, tested directly [B]. Revenue deficit ONLY covers current income/expenditure transactions (excludes capital-asset creation/borrowing) — distinguishes it from fiscal/primary/trade deficit [B ★]. Continuous borrowing → debt accumulation/"**debt trap**" (new loans repay old ones) → ↑ interest burden [B ★]. **Monetised Deficit** (Lucent) = Increment in Net RBI Credit to Central Govt.

11 Finance Commission — 15th & 16th

- Constitutional body, **Article 280**, constituted by President every **5 years**, recommends Centre-States tax-revenue distribution
- 16th FC** → constituted 31 Dec 2023 (Parmar)/Dec 2023 (Lucent), Chairman **Arvind Panagariya** (Lucent spells "Pangariya"); 1 Chairman+4 Members; period 2025-2030
- Vertical Devolution** → share of divisible pool to States collectively — retained at **41%**
- Horizontal Devolution** criteria (16th FC): Income Distance 42.5%, Population 17.5%, Area 10%, Forest & Ecology 10%, Demographic Performance 10%, **Contribution to GDP 10%** (new, added by 16th FC)
- FC also recommends: Grants-in-aid to states (Art 275, Consolidated Fund of India); measures improving Panchayat/Municipality finances
- ₹1.34 lakh crore provision for states, FY2026-27, as FC grants (incl. Rural/Urban Local Body + Disaster Management grants)

Criteria	15th FC (2021-26)	16th FC (2026-31)
Income Distance	45%	42.5%
Population (2011)	15%	17.5%
Demographic Performance	12.5%	10%
Area	15%	10%
Forest	10%	10%
Tax & Fiscal Efforts	2.5%	—
Contribution to GDP	—	10%

- 1st FC → Chairman **K.C. Neogi**
- 15th FC (2020-25 period) → constituted Nov 2017, Chairman **N.K. Singh**; award period stated elsewhere as 2021-22 to 2025-26 [internal inconsistency, both preserved]
- 15th FC recommendations: devolution to all Panchayati Raj tiers incl. Traditional Bodies (5th/6th Schedule areas); grants in 2 parts — **Basic (Untied) Grant** [RLBs, 29 subjects under 11th Schedule, excl. salaries] + **Tied Grant** [sanitation/ODF/waste management, drinking water/rainwater harvesting]; **Health Grants** (2021-26) — diagnostic infra, block-level public health units, sub-centre/PHC/CHC buildings, PHC→Health & Wellness Centre conversion
- Since Independence: "15 Finance Commissions have submitted reports" (Lucent, as printed — odd phrasing given 16th FC already exists)

- 15th FC funds: ₹1,49,570.41 cr released of ₹1,79,140.00 cr allocated for 2023-24; +₹1,048.50 cr from National Disaster Response Fund for calamities
- Finance Commission Division (Dept of Expenditure) processes/follows up FC recommendations incl. grant releases

12 Fiscal System, Revenue Sources & Public Debt

- **Fiscal System** → state's management of revenue+capital expenditure finances (revenue-raising, borrowing, spending)
- **Fiscal Policy** → use of taxation+public expenditure+public-debt management for specified objectives
- Centre's revenue: Tax revenue (income/expenditure taxes; property/capital-transaction taxes; commodity/services taxes) + Non-tax revenue (currency/coinage/mint; interest receipts/dividends; other)
- State's revenue: state tax revenue (land revenue/stamp/registration/estate duty), share in central taxes, income from state enterprises/services
- Centre's expenditure: Plan (agri/rural dev/irrigation/flood control/energy/industry/transport/comm/S&T/environment) + Non-plan (interest payments/defence/subsidies/general services)
- State's expenditure: Non-Development + Development Expenditure

Internal Debt	External Debt
Open-market loans, compensation/prize bonds, treasury bills (91/182/364-day + 14-day for states only) to RBI/banks, cash management bills, special RBI securities, compensation/other bonds, non-negotiable non-interest rupee securities to int'l FIs, market-stabilization-scheme securities (↓ gold/import dependency)	World Bank/IMF/ADB/foreign govts; Centre doesn't borrow directly from int'l capital markets — borrows via multilateral/bilateral ODA channels

"Other liabilities" (NOT part of public debt): post office savings deposits, small-savings scheme deposits, post office cash certificates, provident funds, other deposits. **RBI** manages Central+State public debt, acts as their banker (RBI Act 1934, Sections 20/21 for Centre, 21A for States by agreement).

13 Annual Financial Statement — Structure & Related Bills

- AFS kept in 3 parts: **Consolidated Fund, Contingency Fund, Public Account**
- **Consolidated Fund** → all revenues+loans raised+loan-recovery receipts; all expenditure from it; needs Parliament authorisation to withdraw
- **Contingency Fund** → imprest at President's disposal for urgent unforeseen expenditure pending Parliament authorisation; corpus (from India 2023, effective April 2021) = **₹30,000 crore**; amount recouped after subsequent Parliamentary approval
- **Public Account** → govt acts as banker (provident funds, small savings, deposits); no Parliamentary authorisation needed for these payments
- Budget = **Revenue Budget** (current receipts/expenditure — taxation, PSU surplus) + **Capital Budget** (capital receipts/expenditure — domestic/foreign loans, loan repayments, foreign aid)
- **Demands for Grants** → Consolidated-Fund expenditure estimates voted by Lok Sabha, per Article 113; presented alongside AFS

HOOK Finance Bill ★ → a Money Bill (Article 110); presented with AFS; details tax imposition/abolition/alteration [B ★: role = tax changes/new tax proposals/rate amendments/tax-rule changes, needs both Houses' approval; also relates to Article 117, regulates financial matters beyond a plain Money Bill ★]. **Appropriation Bill ★** → separately empowers withdrawal from Consolidated Fund for voted Demands-for-Grants amounts + charged expenditure; Article 114(3) — no withdrawal without such enacted law ★.

Constitution (80th Amendment) Act, 2000 (retrospective from 1 Apr 1996): most Union-List taxes (excl. Art 268/269 duties, Art 271 surcharges, specific cesses) collected by Centre, distributed Centre-States per President's order on FC recommendation. Union tax revenue sources: Customs, Union Excise, Service Tax, Corporate+Income Tax; Non-tax: interest receipts, dividends/profits, fines, regulatory/licence/user charges.

14 Budget 2025-26 — Summary (time-sensitive)

DOUBT Every figure below is from Union Budget 2025-26 and will be superseded by later budgets (including 2026-27, presented before today). Verify against the current budget before relying on any figure.

- No income tax on avg monthly income up to ₹1 lakh; salaried NIL tax up to ₹12.75 lakh/annum (new regime, standard deduction ₹75,000)
- 4 engines of development: **Agriculture, MSME, Investment, Exports** ("Sabka Vikas" theme — balanced regional growth)
- KCC loans up to ₹5 lakh under modified interest subvention scheme
- FY25 fiscal deficit estimated 4.8%, target 4.4% in FY26 [DOUBT: conflicts with Parmar's separate BE2026-27=4.3%/RE2025-26=4.4% figures under §8's Fiscal Consolidation heading — different budget-year framings, both preserved]
- MSME credit-guarantee cover enhanced ₹5cr→₹10cr
- National manufacturing mission (small/medium/large industries) for "Make in India"
- 50,000 Atal Tinkering Labs in govt schools over 5 years; AI Centre of Excellence for education, ₹500 crore outlay
- PM Svanidhi enhanced loans + UPI-linked credit cards, ₹30,000 limit
- Gig workers: identity cards, E-Shram Portal registration, healthcare under PM Jan Arogya Yojana
- ₹1 lakh crore Urban Challenge Fund for "Cities as Growth Hubs"
- Nuclear Energy Mission (small modular reactors R&D), ₹20,000 crore outlay
- Modified UDAN: enhance regional connectivity to 120 new destinations
- Gyan Bharatam Mission: survey/conserve 1 crore+ manuscripts
- FDI limit for Insurance: 74%→100%
- Jan Vishwas Bill 2.0: decriminalise 100+ legal provisions; Updated ITR time limit 2yrs→4yrs; TCS-payment delay decriminalised
- TDS on rent: ₹2.4 lakh→₹6 lakh; senior citizens' TDS-exempt interest limit doubled ₹50,000→₹1 lakh
- BCD exempted on 36 lifesaving cancer/rare/chronic-disease drugs
- BCD on IFPD ↑to 20%; on open cells ↓to 5%; open-cell parts exempted (domestic mfg); EV/mobile battery manufacturing capital goods exempted; shipbuilding raw materials/components BCD-exempt 10yrs
- BCD: frozen fish paste 30%→5%; fish hydrolysate 15%→5%
- Cobalt powder/waste, lithium-ion battery scrap, Lead, Zinc +12 critical minerals: fully BCD-exempt; 2 more shuttle-less loom types added to exempted textile machinery
- RE 2024-25: total receipts(ex-borrowings) ₹31.47 lakh cr (net tax receipts ₹25.57 lakh cr); total expenditure ₹47.16 lakh cr (capex ₹10.18 lakh cr)
- BE 2025-26: total receipts(ex-borrowings) ₹34.96 lakh cr; total expenditure ₹50.65 lakh cr; net tax receipts ₹28.37 lakh cr; new-regime revenue loss ≈₹1 lakh crore

Total Income/annum	Rate
₹0-4 Lakh	Nil
₹4-8 Lakh	5%
₹8-12 Lakh	10%
₹12-16 Lakh	15%
₹16-20 Lakh	20%
₹20-24 Lakh	25%
Above ₹24 Lakh	30%

Fiscal Consolidation (Parmar, separate framing): Debt-GDP target $50\pm 1\%$ by 2030; 55.6% BE2026-27 vs 56.1% RE2025-26; fiscal deficit RE2025-26=4.4% (par with BE), BE2026-27=4.3%.

15 Gender & Child Budgeting

- Statement 13 (Gender Budget) → from 2005-06; Statement 12 (Children's Welfare schemes) → from 2009-10

- FY2024-25: ₹3.3 lakh crore allocated for women welfare/empowerment (Economic Survey 2023-24: shift from women's development→women-led development)
- Children's budget FY2024-25: ₹1,09,921 crore = 2.28% of total budget (+5.51% from ₹1,04,180 crore prior year)

HOOK Gender Budget Parts (PYQ) [B] ★: **Part A** = 100% women-specific; **Part B** = pro-women (30-99% allocation); **Part C** = <30% allocation (from 2024-25) ★.

16 Economic Committees on Taxation & Fiscal Reform

Committee	Focus/Recommendations
Raja/R. Chelliah Committee (1991) ★	Tax-system reform ★ [B: Chairman = "Father of Indian Tax Reforms" ★]; recommended ↓ personal/corporate income tax rates, widen tax base (remove exemptions), simplify structure, expand MODVAT (avoid cascading), gradually ↓ high customs duties; also: Income Tax on agri income >₹25,000 p.a. [Lucent]; lower rates/fewer slabs
K.L. Rekhi Committee (1992)	Uniform regulations for indirect taxation (Customs+Excise Duty)
Kelkar Committee (2002-03) ★	Vijay Kelkar chairman, Task Force on fiscal reforms (direct+indirect tax) ★; recommendations: simplify tax admin, broaden tax base, ↑ personal-income-tax exemption limit; role in FRBM Act implementation + GST roadmap
Kelkar Committee (2015)	Recommended PPP-model reforms for infra-project efficiency/transparency

WMA 1997 (Ways and Means Advances) → RBI-provided temporary mismatch-financing for Centre; NOT a permanent finance source. **Operation Twist** → RBI monetary tool — buys long-term G-secs + sells short-term simultaneously → ↓ long-term interest rates/manages yield curve; buying long bonds → prices↑, yields↓ → cheaper long-term loans.

17 Financial Institutions & Central Govt Schemes (2016+) — Reference Tables

Institution	Year Established
ICICI	Jan 1955
IFCI	1948
UTI (HO Mumbai)	1 Feb 1964
NABARD	12 July 1982
Industrial Reconstruction Bank of India	20 Mar 1985
SIDBI (HO Lucknow)	1990
EXIM Bank	1 Jan 1982
RRB (HO Kolkata, as printed)	2 Oct 1975
LIC (HO Mumbai)	Sept 1956
Imperial Bank of India	1921
RBI (HQ Mumbai)	1 Apr 1935
SBI	1 July 1955
National Housing Bank	July 1988
GIC	1 Nov 1972

DOUBT The original Lucent table (16 rows) duplicates ICICI (rows 1 & 12) and NABARD (rows 4 & 16, once as "National Agriculture and Rural Development Bank") — condensed above to unique entries.

Scheme (launched after 2016)	Date
SAUBHAGYA – Pradhan Mantri Sahaj Bijli Har Ghar Yojana	2017
World Class Institutions Scheme	2017
Anaemia Mukt Bharat	2018

Ayushman Bharat - PMJAY	2018
National Viral Hepatitis Control Programme	2018
Fit India Programme	2019
Jal Jeevan Mission	2019
Rashtriya Gokul Mission	2019
Dekho Apna Desh	Jan 2020
PM Garib Kalyan Package Insurance Scheme	Mar 2020
SVAMITVA	24 Apr 2020
PM Matsya Sampada Yojana	2020
VISVAS Yojana	2020-21
Ayushman Bharat Digital Mission	Sept 2021
MusQan Initiative	2021
SVAnidhi Se Samriddhi	2021
Jal Shakti Abhiyan: Catch the Rain	22 Mar 2021
PM Vishwakarma Scheme	17 Sept 2023

18 Tax System — Additional Detail (CBDT, Revenue, Rupee Symbol)

- Tax def: compulsory citizen/org contribution to govt, funds welfare work; imposed/collected at 3 levels — Central, State, Local
- Centre's taxes: Custom Duty, Income Tax, Corporate Tax etc.; State collects+spends its own category
- Centre empowered for customs+excise (except alcohol/narcotics); Sales tax = exclusive State jurisdiction

Category	Examples
Direct	Income Tax, Property Tax, Gift Tax
Indirect	Sales Tax, Excise Duty, Custom Duty
Central	Income/Corporate/Property/Succession/Wealth/Gift Tax, Customs Duty, agri-wealth tax
State	Land Revenue Tax, Agri Income Tax, Agri Land Revenue, State Excise, Entertainment Tax, Stamp Duty, Road Tax, Motor Vehicle Tax

Progressive Tax (Lucent's framing): higher income-proportion taken as income rises; Indian Income Tax = progressive+direct. **Agricultural income** = free from income tax [note: this sits alongside Chelliah Committee's recommendation to tax agri income >₹25,000 — different contexts, both preserved].
Corporate Tax: on Registered Companies/Corporations; uniform rate across companies but with rebates/exemptions.

DOUBT Lucent's §12 still lists VAT/Sales Tax/Service Tax/Entertainment Tax as current "indirect taxes" and calls Excise Duty "the largest source of Central revenue" and Export Duties "more important than Import Duties" — all outdated, pre-GST framing preserved from the source without correction. Import duties = generally ad-valorem (percentage-based) in India. All items except liquor/opium/drugs are Excise-taxable per this (outdated) framing.

CBDT → created by Central Board of Revenue Act 1963; apex direct-tax-law administration body; cadre-controlling authority for IRS officers + Income Tax Dept officials.

Revenue Collection: FY2023-24 net Direct Tax=₹19,60,166 crore (provisional); FY2024-25 (to Nov 2024)=₹12,46,229 crore = 56.47% of BE ₹22,07,000 crore.

Rupee symbol: contest announced 5 March 2009; new symbol = Devanagari 'Ra' + Roman 'R' (no stem); designed by **D. Udaya Kumar** (IIT Bombay postgrad); selected by Union Cabinet **15 July 2010**. Coin + ₹1 note = "Legal Tender Money" category. M1 = Narrow Money; M3 = Broad Money (cross-ref Batch 5).

Appendix

A.1 — PYQ citation index (buckets "04 Indian Tax System" + "05 Public Finance")

Fact tested	Exam · Date · Shift
Chelliah Committee chairman/role	SSC CHSL Tier-I, 25/11/2025 (Sh-01)
Progressive taxation = most-used income-tax system	SSC Phase XIII, 29/07/2025 (Sh-02)
Direct tax collected by govt (Income Tax)	SSC Phase XIII, 02/08/2025 (Sh-01)
Direct taxes collected from individuals+companies	SSC Phase XIII, 01/08/2025 (Sh-01)
Corporate Income Tax = direct tax example	SSC Phase XIII, 31/07/2025 (Sh-02)
Paper tax = wealth tax (not GST)	SSC CHSL Tier-I, 30/11/2025 (Sh-02)
GST = indirect tax example	SSC Phase XIII, 29/08/2025 (Sh-03)
GST purpose = uniform tax system	SSC Phase XIII, 24/07/2025 (Sh-02)
Kelkar Committee 2002-03 chairmanship	SSC CHSL Tier-I, 29/11/2025 (Sh-01)
Entertainment/Entry tax = subsumed into GST	SSC CHSL Tier-I, 25/11/2025 (Sh-03)
GST amalgamated central+state taxes	SSC CHSL Tier-I, 21/11/2025 (Sh-03)
Customs duty on imports/exports	SSC CHSL Tier-I, 13/11/2025 (Sh-02)
CENVAT single rate 16% (2001-02)	SSC CHSL Tier-I, 12/11/2025 (Sh-03)
Indirect tax regressive reasoning	SSC CPO Tier-I, 11/12/2025 (Sh-01)
Indirect tax example (Excise Duty)	SSC CPO Tier-I, 11/12/2025 (Sh-02)
PSU share sale = capital receipt	SSC CHSL Tier-I, 12/11/2025 (Sh-03)
Capital receipt example (disinvestment)	SSC CPO Tier-I, 10/12/2025 (Sh-02)
Budget's main objective	SSC Phase XIII, 01/08/2025 (Sh-03)
AFS = official name, not "Budget"	SSC Phase XIII, 30/07/2025 (Sh-01)
Fiscal deficit worked calculation	SSC Phase XIII, 31/07/2025 (Sh-02)
Budgetary Deficit = Fiscal Deficit (alt name)	SSC Phase XIII, 30/07/2025 (Sh-02)
Revenue expenditure = normal-functioning cost	SSC CHSL Tier-I, 30/11/2025 (Sh-02)
Gender Budget Parts A/B/C	SSC CPO Tier-I, 09/12/2025 (Sh-01)
Capital expenditure statement pair	SSC CHSL Tier-I, 25/11/2025 (Sh-01)
Salaries/pensions/defence = revenue expenditure	SSC CHSL Tier-I, 22/11/2025 (Sh-01)
Subsidy=welfare instrument, Defence=committed exp.	SSC CHSL Tier-I, 21/11/2025 (Sh-01)
Revenue receipts include Finance Bill effects	SSC CHSL Tier-I, 20/11/2025 (Sh-01)
Traditional view: tax cuts+deficit = spend more	SSC CHSL Tier-I, 19/11/2025 (Sh-02)
Interest payment = revenue expenditure	SSC CHSL Tier-I, 18/11/2025 (Sh-01)
Child Budgeting adopted 2008-09	SSC CHSL Tier-I, 13/11/2025 (Sh-03)
Revenue deficit = only current transactions	SSC CHSL Tier-I, 13/11/2025 (Sh-03)

By 2030, >40% urban population (Eco Survey 2023-24)	SSC CHSL Tier-I, 19/11/2025 (Sh-01)
Capital account = assets/liabilities	SSC CPO Tier-I, 11/12/2025 (Sh-02)
Budget deficit vs revenue definitions	SSC CPO Tier-I, 11/12/2025 (Sh-02)
Finance Bill contents/Article 117	SSC CPO Tier-I, 10/12/2025 (Sh-02)
Capital receipt example (RBI loan)	SSC CGL Tier-I, 22/09/2025 (Sh-03)
Revenue account/budget alt name	SSC CGL Tier-I, 21/09/2025 (Sh-02)
Union Budget period = Apr-Mar	SSC CPO Tier-I, 09/12/2025 (Sh-01)
Budget deficit vs surplus statement pair	SSC CPO Tier-I, 11/12/2025 (Sh-02)
FRBM enacted 2003	SSC CHSL Tier-I, 29/11/2025 (Sh-03)
FRBM escape clause grounds	SSC CHSL Tier-I, 18/11/2025 (Sh-02)
FRBM: revenue deficit -0.5%/yr	SSC CHSL Tier-I, 20/11/2025 (Sh-01)
FRBM: fiscal deficit $\leq 3\%$ of GDP	SSC CHSL Tier-I, 22/11/2025 (Sh-01)
FRBM: NOT laid before Parliament = Monetary Policy Stmt	SSC CHSL Tier-I, 15/11/2025 (Sh-01)
FRBM: 3 mandatory statements	SSC CHSL Tier-I, 19/11/2025 (Sh-01)
FRBM main purpose	SSC Stenographer, 08/08/2025 (Sh-01)
FM's role under FRBM	SSC Stenographer, 07/08/2025 (Sh-02)
FRBM aim: decrease fiscal deficit+public debt	SSC Phase XIII, 01/08/2025 (Sh-02)
Fiscal discipline reforms: states adhere to targets	SSC Stenographer, 08/08/2025 (Sh-03)
Keynes: expand govt expenditure in recession	SSC Stenographer, 08/08/2025 (Sh-01)
Crowding out definition	SSC Phase XIII, 29/08/2025 (Sh-03)
Keynesian recession response = $\uparrow$ spend, $\downarrow$ tax	SSC Stenographer, 06/08/2025 (Sh-03)
Fiscal policy's primary objective	SSC Stenographer, 07/08/2025 (Sh-01)
PSU disinvestment reduces financial assets	SSC CPO Tier-I, 10/12/2025 (Sh-01)
Keynes' most effective tool in depression	SSC Stenographer, 08/08/2025 (Sh-01)
Post-1991 fiscal reform: states + fiscal targets	SSC Stenographer, 08/08/2025 (Sh-03)
Fiscal policy example = infra spending	SSC Phase XIII, 25/07/2025 (Sh-01)
Deficit financing objective = stimulate growth	SSC Phase XIII, 25/07/2025 (Sh-02)
NOT a reason for fiscal deficit = BoP surplus	SSC Phase XIII, 25/07/2025 (Sh-02)
Kelkar Committee 2002-03 year confirmed	SSC CHSL Tier-I, 25/11/2025 (Sh-02)
Continuous borrowing = debt accumulation/trap	SSC CHSL Tier-I, 24/11/2025 (Sh-01)
Fiscal deficit = expenditure-receipts(ex-borrowing)	SSC CPO Tier-I, 12/12/2025 (Sh-02)
Revenue expenditure example (interest paid)	SSC CPO Tier-I, 09/12/2025 (Sh-02)
Revenue deficit calculation formula	SSC CGL Tier-I, 20/09/2025 (Sh-03)
Expansionary fiscal policy NOT characterised by	SSC CGL Tier-I, 26/09/2025 (Sh-01)
Primary deficit = borrowing excl. past-debt interest	SSC CGL Tier-II, 18/01/2026
Gross fiscal deficit 1990-91 crisis level	SSC CHSL Tier-I, 28/11/2025 (Sh-02)
Revenue receipts A-R (non-redeemable)	SSC CGL Tier-I, 25/09/2025 (Sh-01)
Capital receipts definition	SSC CGL Tier-I, 24/09/2025 (Sh-02)
Grants for asset creation = still revenue expenditure	SSC CGL Tier-I, 23/09/2025 (Sh-03)
Revenue receipts vs disinvestment statement pair	SSC CGL Tier-I, 26/09/2025 (Sh-02)
Revenue deficit = why a concern	SSC CGL Tier-I, 23/09/2025 (Sh-02)

A.2 — Conflicts flagged (both sources' figures kept, not reconciled)

- Primary Deficit formula: Parmar/most PYQs = Fiscal Deficit – Interest; Lucent's own printed formula = Revenue Deficit – Interest (also contradicts Lucent's own prose definition)
- Fiscal Deficit formula: Parmar's ordering vs Lucent's differently-signed version
- Budget 2025-26 fiscal-deficit figures under Lucent's Budget Summary (4.8%→4.4%) vs Parmar's separate Fiscal Consolidation figures (4.4% RE→4.3% BE) — different budget-year framings
- 15th FC period: "2020-25" vs "award period 2021-22 to 2025-26" (Lucent, same book)

- 15 Finance Commissions "have submitted reports" (Lucent) sits oddly alongside the 16th FC's existence